— Opinion

Why Chalmers' super tax isn't real reform

Labor's proposal to increase tax on superannuation balances over $3 million will treat symptoms instead of the disease. Here are six simple proposals for an optimal tax agenda.

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Labor's proposal to tax unrealised gains in some superannuation funds is typical of the kind of bad tax policy that both sides of politics have foisted on Australia in the past 20 years. These proposals are not tax reform. They treat symptoms instead of the disease. They make the system worse by adding complexity. They encourage wasteful game-playing by taxpayers and create costly compliance activities for tax authorities.

What would we ideally do if we were going to do tax reform right? What are the kinds of bad policies that we should definitely avoid? What are sensible policy changes that Labor could undertake that are politically do-able and put us on the right track?



Tax reform comes with substantial political risk. It creates winners and losers. Losers empower the opposition and require of a government the courage to take on risk. **Bryan Cook**

This second-term Labor government could make tax reform a centrepiece of its policy agenda [https://www.afr.com/policy/tax-and-super/let-s-just-relax-and-pass-the-fair-and-affordable-super-tax-20250526-p5m2c1]. It has the smarts to comprehend both the problems with tax and the solutions.

Smarts yes, just not enough courage. Because tax reform comes with substantial political risk [https://www.afr.com/politics/federal/why-jim-chalmers-will-have-his-wayne-swan-moment-with-the-super-tax-20250526-p5m26l]. It creates winners and losers. Losers empower the opposition and require a government to have the courage to take on risk. Despite its emphatic return, Albanese's government seems destined to remain slave to the electoral cycle rather than be driven by a vision for Australia's long-term future.

Courage on taxation hasn't emerged since Howard announced the GST more than a generation ago (before going on to win three more elections).

What could Labor do on tax if it were unshackled from electoral politics?

Dreaming ... of a fairer, richer country. One we'd be proud to hand on to the kids. One that is not "indebted to the future". Tantalisingly close but despairingly beyond the reach of government.

"There's a damning trend that sees hard-working, asset-poor young Australians increasingly shouldering the burden for wealthy, asset-rich, older folks."

My fear is that, with real reform beyond its political capacity, Anthony Albanese's Labor will continue to "tinker". Typical of the malignant political tax puffery it is considering:

- **Different forms of capital income should receive different capital gains tax discounts** – This will increase rorts, distortions and inefficient allocation of capital. All capital gains should be taxed similarly.
- **Tax realised gains in some circumstances and gains on accrual in others** – Tax all capital either on accrual or on realisation, else unleash more complexity and game-playing
- **Give franking credits in some circumstances but not others** – Franking credits ensure all taxpayers pay their marginal rate on dividend income, appropriate in our comprehensive system. Allow deductions against expenses for some (for example, shares) but not other investments (for example, property). Labor should not incentivise inefficient investment by adding arbitrary features to an already complex system.

All this puffery shares similar pathologies: treating symptoms rather than underlying disease, adding complexity, encouraging wasteful game-playing and forcing authorities into costly compliance activities.

Hopefully, while lacking the courage to address the core problems with wholesale tax

reform, Albanese's smarts will at least reject these costly panderings to narrow electoral cohorts.

An optimal tax agenda

What then is the optimal tax agenda we might expect from a second-term Labor government? Here are six simple proposals for a tax agenda that Labor could legislate with minimal electoral consequence:

1. Reduce the CGT discount to 40 per cent (from the current 50 per cent) and extend it to cover bank interest. Savings income for people with fewer means disproportionately comes from bank interest, on which they pay the full rate. Give them a break.

2. Raise GST to 15 per cent. Sell this as a short-term budget repair measure linked to a forthcoming decrease in personal income tax rates.

3. Tax all trust distributions at either the company income rate or the marginal rate of the recipient, whichever is higher. This will disable most trust-related tax dodges without undermining trusts' legitimate roles.

4. Remove the tax-free threshold and offer a $25,000 standard deduction to all wage and salary earners (as an alternative to itemised deductions). This taxes capital-derived income from dollar one, encourages work and improves fairness.

5. Include in the means test for the age pension and aged care the value of the family home above an indexed threshold (e.g., starting at $1 million). Combine this with a simple government-run reverse-mortgage scheme to let pensioners borrow against their home at (or slightly above) the inflation rate, with the balance paid on final settlement. This addresses the urgent and critical need to bring into the tax net the 40 per cent of wealth held in owner-occupied housing.

6. Restore the federal property tax (that existed until the 1950s) at an absolutely minimal rate and make no exceptions. This brings untaxed wealth into the

net and establishes a platform for a land tax/stamp duty switch.

These six proposals are all revenue-positive. They could be tied to reduced personal income tax and expenditure restraint. All six will reverse a damning trend that sees hard-working, asset-poor young Australians increasingly shouldering the burden for wealthy, asset-rich, older folks.

It's a simple, manageable agenda that moves us closer to the tax system we ought to have.

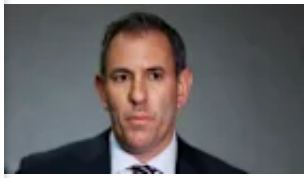
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